

AGRI VALUE-CHAIN

MycoGrow

Mushroom livelihoods

Low-capital oyster mushroom farming lifts rural Bangladeshi incomes and nutrition

THE SITUATION IN BANGLADESH

Bangladesh produces roughly 40,000 tonnes of mushrooms a year (worth about Tk 800 crore), yet domestic output still falls short of demand, forcing an estimated Tk 85–90 crore in imports annually³, even as global mushroom demand climbs about 6.74% per year⁵. The crop grows year-round on cheap, abundant agricultural residue: straw plus a bran supplement delivers around 224 g per bag at roughly 54% biological efficiency, valorizing waste into food⁴². It is also a real livelihood ladder for the landless and for women, who already make up 28% of mushroom entrepreneurs and over 40% of the sector's laborers, with reported benefit-cost ratios of 1.55–4.25⁵¹. But the sector is capital-starved at the bottom: only 25% of farmers even attempt a loan and just 5% succeed, leaving 92.8% to self-fund⁵.

OUR PITCH

MycoGrow is a micro-franchise network that hands rural Bangladeshis — especially women and the landless — a turnkey kit to grow oyster mushrooms on rice straw and sawdust, the residues already lying around their farms²⁴. The wedge is the financing gap itself: by bundling spawn, training, substrate know-how and guaranteed offtake into a low-capital package, MycoGrow replaces the bank loan that 95% of would-be growers never get⁵. The unit economics are honest and modest — typical operators clear single-digit-thousand-taka monthly profits on small investments, but at benefit-cost ratios of 1.55–4.25 and grown vertically in a single room, requiring no cultivable land¹. It works because every input is local and cheap, demand outstrips a supply gap that already drives tens of crore in imports, and the National Mushroom Development Institute estimates the sector could triple and employ up to half a million people³.



SOURCES (5)

1. Sarker, N.C. et al. (2020). Mushroom Production Benefits, Status, Challenges and Opportunities in Bangladesh: A Review. Annual Research & Review in Biology. journalarab.com/index.php/ARRB/article/view/...
2. Agri-food wastes as substrates for oyster mushroom cultivation (2025). PMC. [pmc.ncbi.nlm.nih.gov/articles/PMC12663327/...](https://pubmed.ncbi.nlm.nih.gov/articles/PMC12663327/)
3. New Age Bangladesh (2025). Mushroom farming comes up as new economic front (NMDI data). www.newagebd.net/post/country/280192/mushr...
4. Yang, W., Guo, F. & Wan, Z. (2013). Yield of oyster mushroom on rice/wheat straw substrate. Saudi Journal of Biological Sciences. [pmc.ncbi.nlm.nih.gov/articles/PMC3824138/...](https://pubmed.ncbi.nlm.nih.gov/articles/PMC3824138/)
5. Dey, B.K. et al. (2024). Strategic insights for sustainable growth of mushroom farming in Bangladesh (SWOT-AHP, TOPSIS). Heliyon. [pmc.ncbi.nlm.nih.gov/articles/PMC11402923/...](https://pubmed.ncbi.nlm.nih.gov/articles/PMC11402923/)